



“Consumers already have dozens of apps competing for their attention. Unless a product offers something different, persuading them to download one more has become increasingly difficult.”

ABHIRAM BHALERAO
PARTNER, V3 VENTURES



“This generation of apps benefited from the work done by the first and second generations of internet start-ups in distribution, payments, and building trust around e-commerce usage”

SAJITH PAI
Partner, Blume Ventures

requires different capabilities at different stages of its evolution.

“The skill set that takes a business from zero to one, one to ten, and ten to a hundred is very different from the one that takes it from a hundred to a thousand,” says Khattar. “Many founders realise they’re neither the best people to lead into the next stage of growth, nor do they actually want to spend the next ten years doing it.”

Sheth sees it through a different lens. The mistake, he argues, is assuming entrepreneurs belong to industries where they first found success. “Every founder identifies a problem and commits 100% to it,” he says. “Nobody’s married to an industry.”

He points to India’s family-

owned business groups, many of which have spent generations moving across retail, pharmaceuticals, automobiles, manufacturing and financial services as opportunities evolved. Start-up founders, he believes, are beginning to think the same way. “It’s not about the sector,” says Sheth. “It’s about spotting a problem and going after it with everything you understand.”

Not everyone attributes this evolution solely to changes within the founders themselves. “Why now would be largely the market—the funding environment, the technology available, or some change in the regulatory window,” says Sajith Pai, partner at Blume Ventures.

Consumers, meanwhile, have

evolved as well. As incomes have risen, premiumisation has gathered pace, and many customers are willing to pay more for better products, prioritising quality over price. Bhalerao says founders who spent years building consumer brands have watched that shift unfold in real time. “Some of the products they were selling to the consumer in 2018 or 2019 just don’t make the cut in 2025 or 2026,” says Bhalerao.

For experienced founders, the question is no longer whether another consumer category can be built. It is where to build next—and that destination looks very different from a decade ago.

THE EVOLUTION

India’s start-up ecosystem has evolved in various waves. The outsourcing boom established India as an engineering powerhouse, while improving internet access, smartphones, digital payments and abundant venture capital created the consumer internet boom of the late 2000s and 2010s. Flipkart, Zomato, Paytm and Myntra emerged during this period, while Reliance Jio’s launch in 2016 dramatically expanded the digital market.

For the better part of a decade, consumer internet offered some of the country’s biggest entrepreneurial opportunities. Every friction point—from discovering products and ordering food to booking cabs, making payments and buying everything from cosmetics to insurance—looked like a start-up waiting to be built. Many went on to define entirely new consumer categories.

“When Flipkart started, the internet was still evolving,” says Satish Meena, founder of research platform Datum Intelligence. “People first came online to con-